Sales Performance Analysis (July 2001 – July 2004)

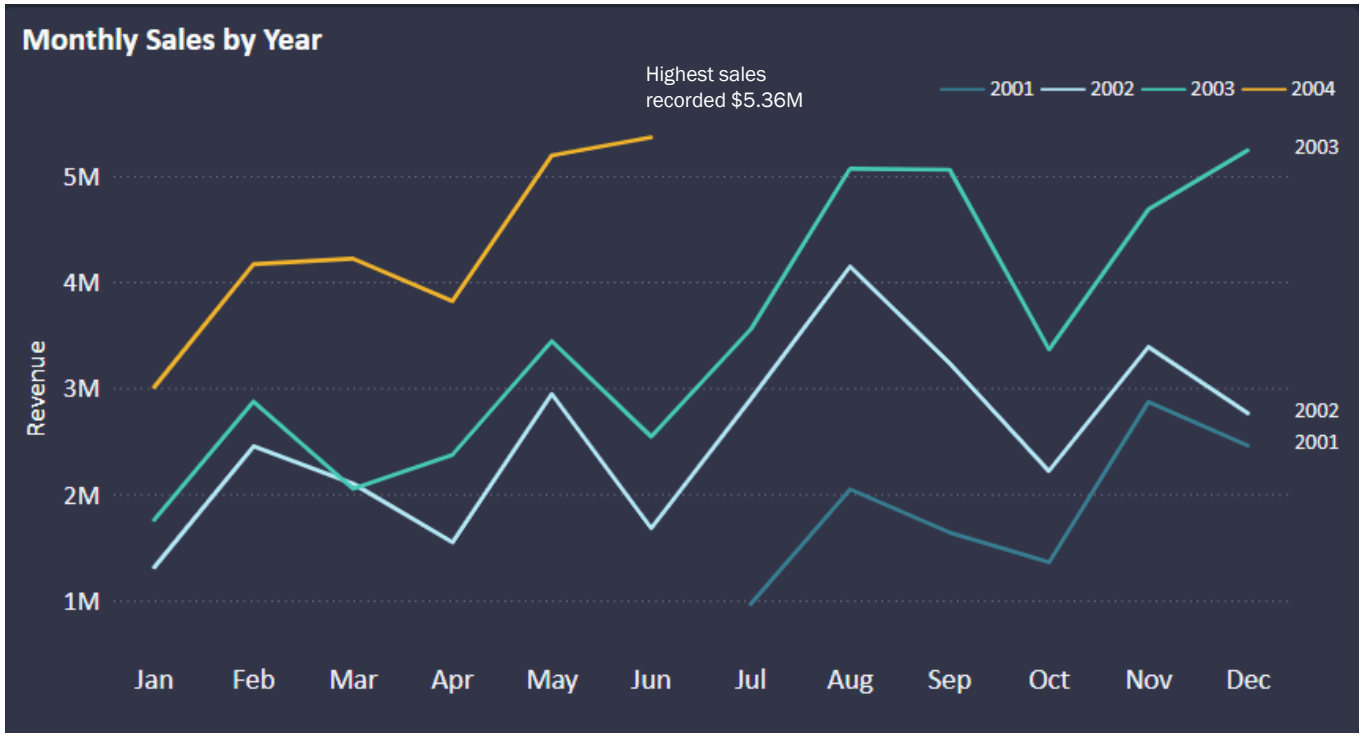
Insights, Opportunities and Actions

Objectives

This data analysis aims to answer the strategic question “How do we increase sales, improve profitability, and enhance customer retention while addressing seasonal fluctuations and underperforming markets?”

- Identifying high-performing products, markets, and sales strategies.
- Addressing challenges such as seasonal fluctuation and variability in Sales team’s performance.
- Deliver actionable recommendations to drive consistent growth and profitability

How Do Our Sales Vary Throughout the Year?



- Consistent peaks in revenue in summer and holiday period
- Early-year dips highlight the need to boost demand during slower seasons

➢ Recommendations:

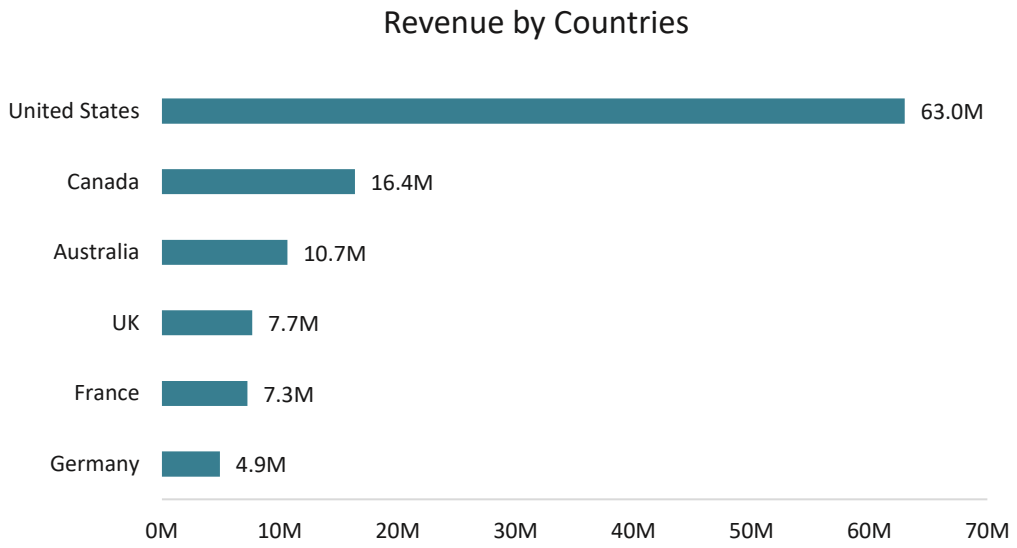
- Launch pre-holiday campaigns to capture early shoppers.
- Provide personalized offers for high-value customer segments during off-peak times.

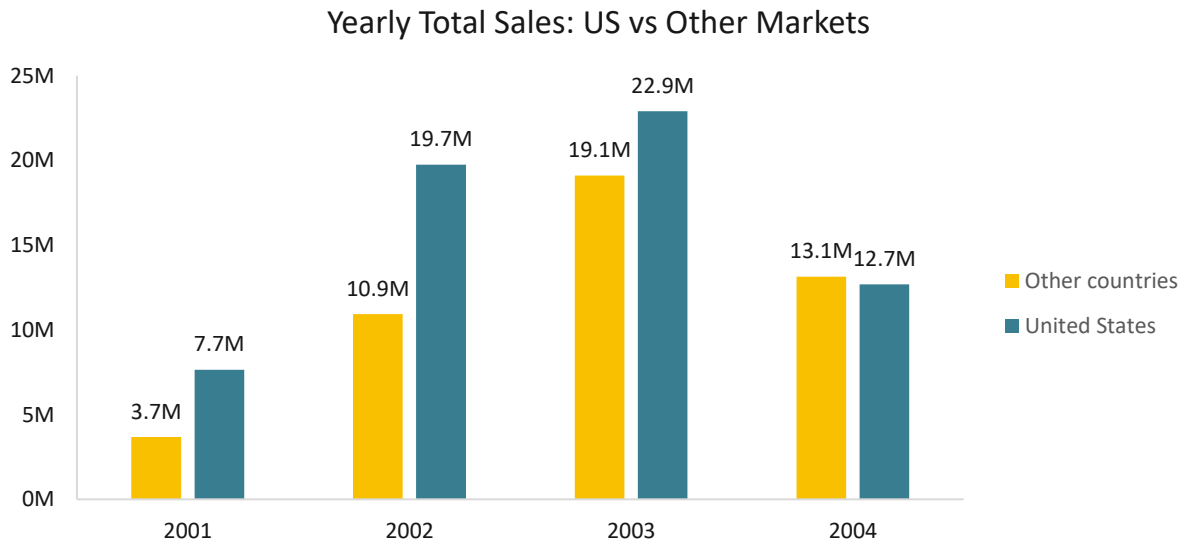
Which Countries Are Our Key Markets?

- US was the key market (account for over 50% of the total revenue)
- Other countries have shown substantial growth over time.

➢ Recommendations:

○ Develop localized marketing campaigns to drive higher customer acquisition.



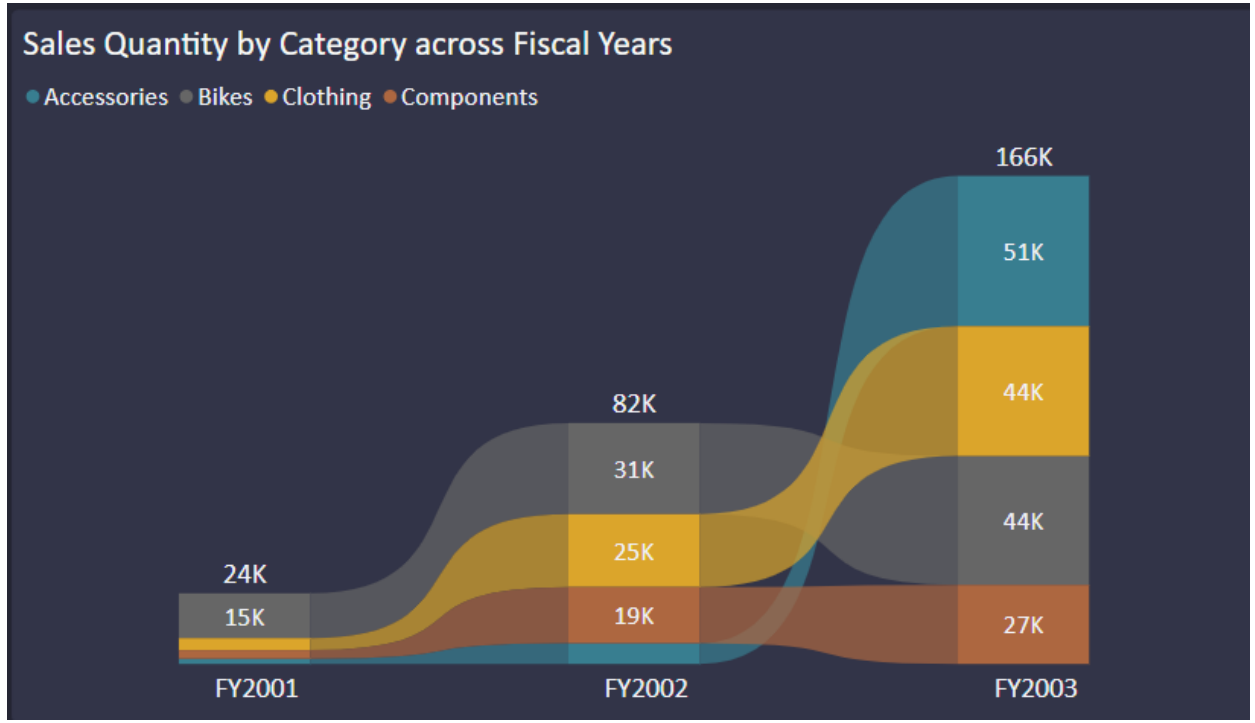


What Are Our Best-Selling Products?

- Bikes lead in quantity, followed by Components
- Remarkable growth in Accessories suggests increasing customer interest in complementary products

➢ Recommendations:

- Expand the product line in Accessories and Clothing to capture additional demand.
- Leverage cross-sell opportunities between Bike and Components



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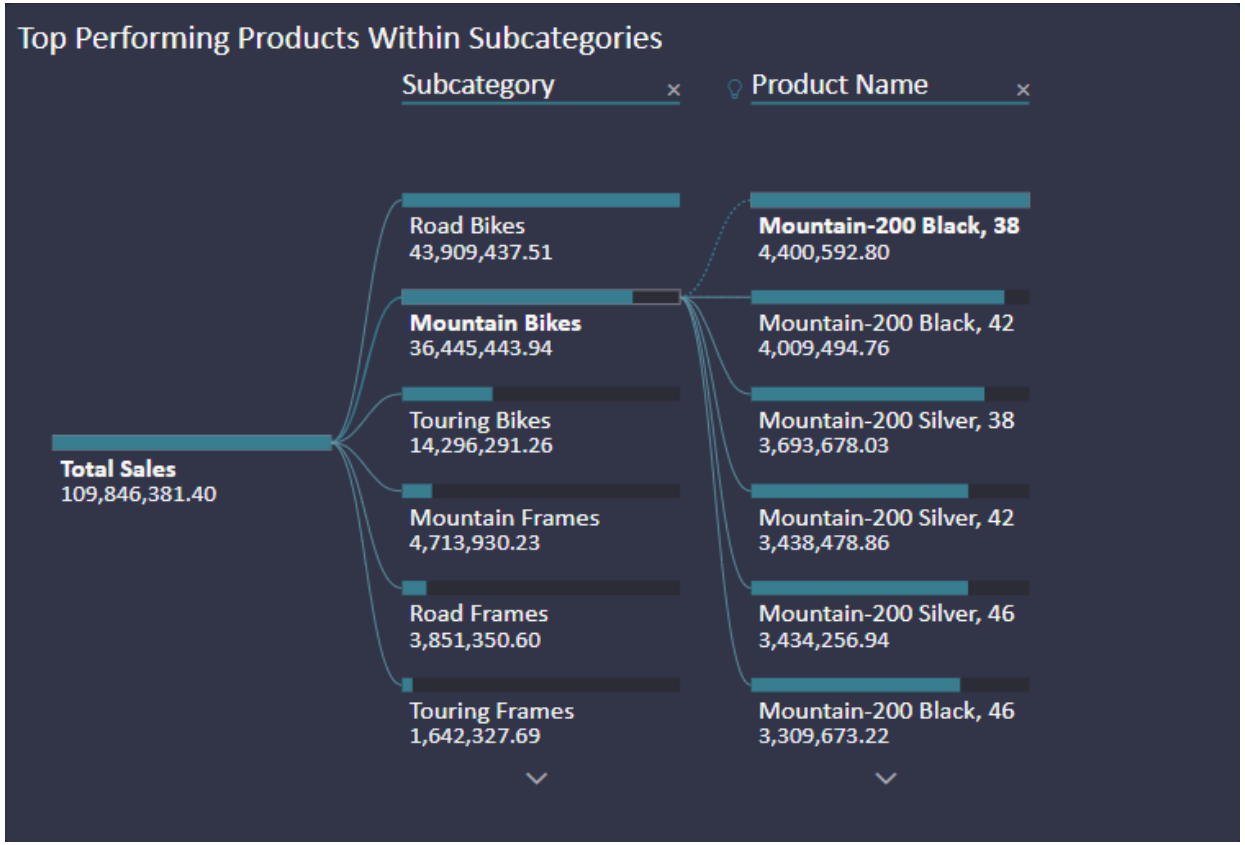


- Road Bikes and Mountain Bikes dominate sales
- Mountain-200 Black model is the key revenue generator.

➢ Recommendations:

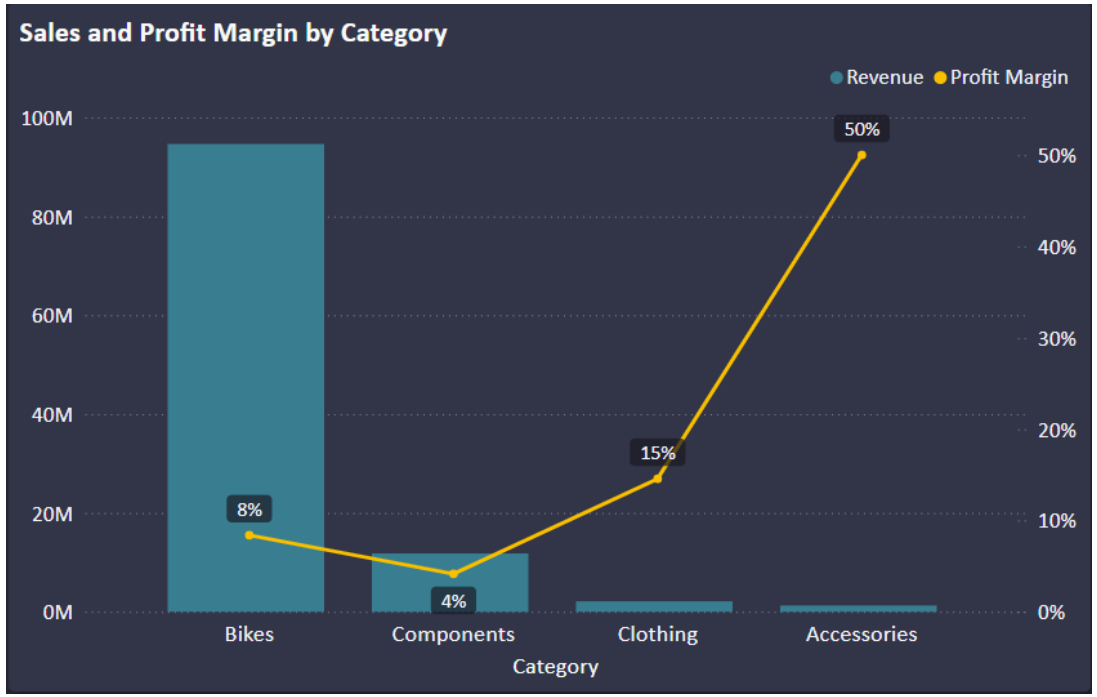
- Focus on marketing and improving stock levels for top-selling products to sustain their strong performance.
- Develop similar products to the top performers, targeting gaps in customer preferences.

Which Products Drive Profit?

- Accessories yield the highest profit margin (>50%) while revenue is relatively lower.
- Bikes dominates sales but have lower margins

➢ Recommendations:

- Diversification across categories is needed
- Promote Accessories while optimizing Bikes' pricing and costs

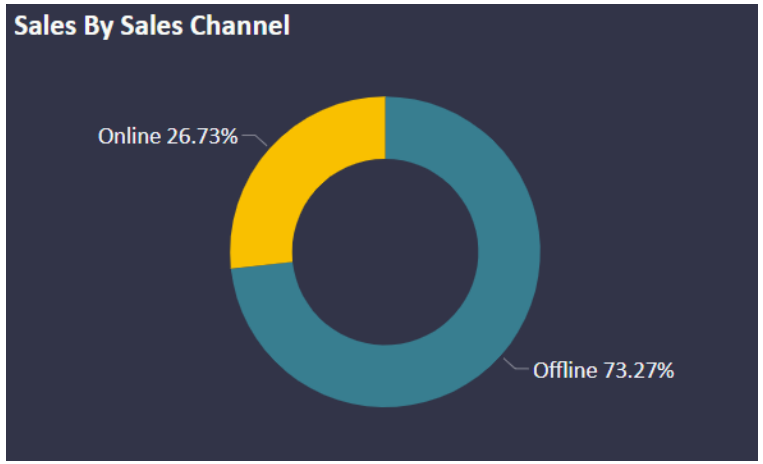


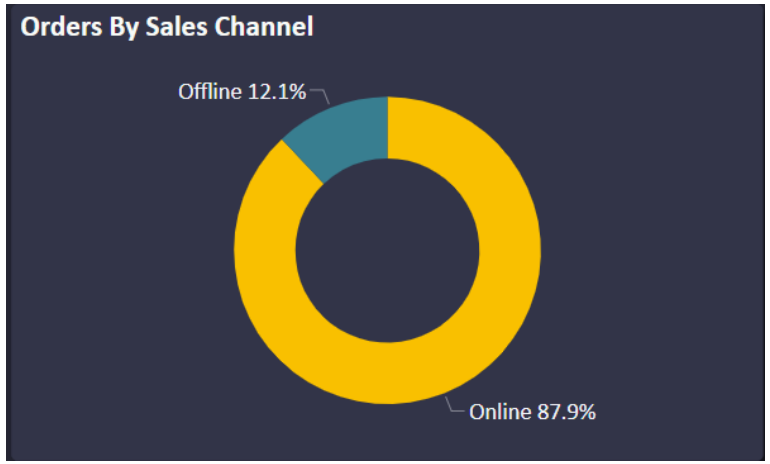
Are We Leveraging All Sales Channels Effectively?

- Offline sales channels are the dominant source of revenue generation
- Online sales represent an untapped growth area

➢ Recommendations:

- Retain the high-value offline customer base by offering loyalty programs or exclusive in-store experiences.
- Expand digital channels and e-commerce capabilities.



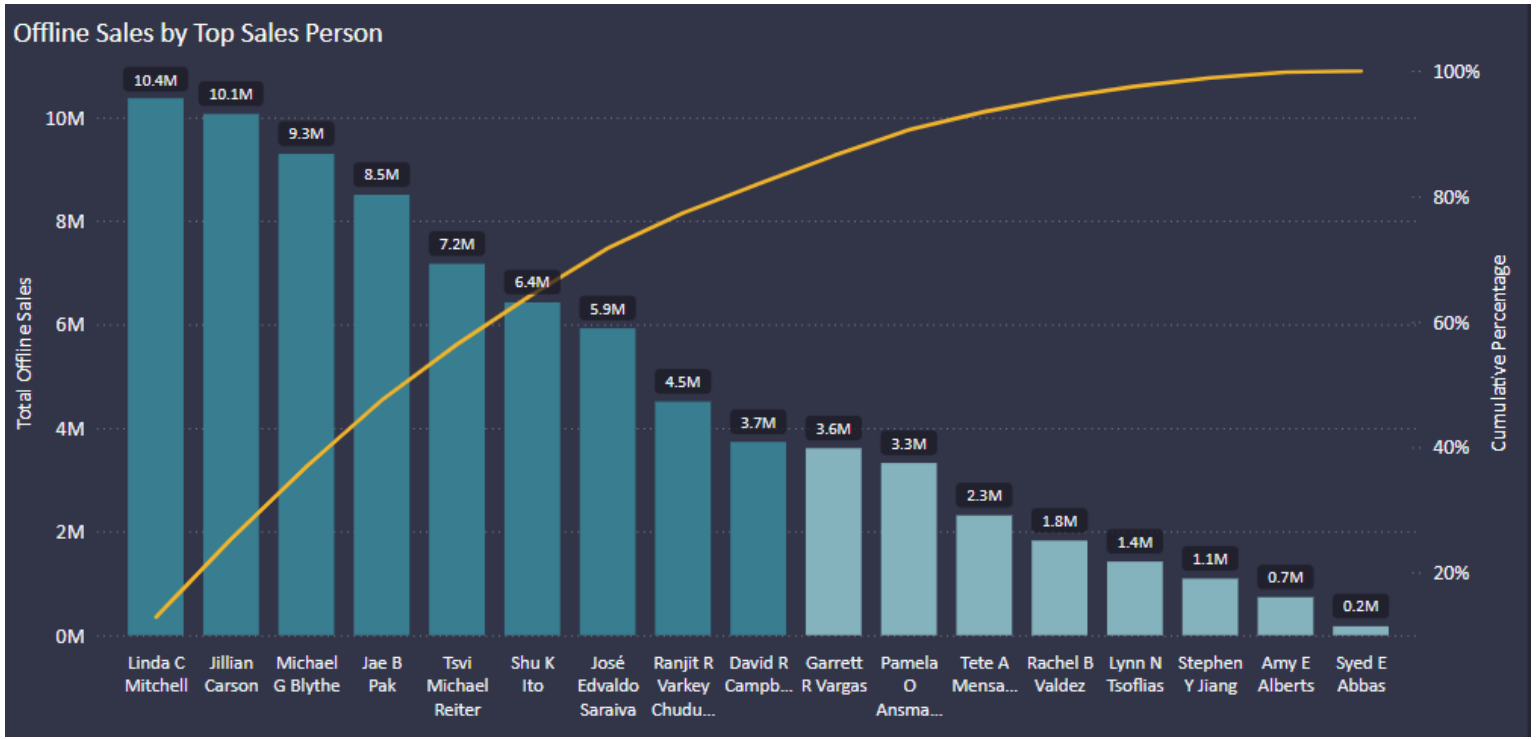


Who Drives the Most Sales?

- Top 5 salesperson contribute to 56% of total offline sales, indicating heavy reliance on a few key performers.

➢ Recommendations:

- Conduct training sessions to share best practices from top salespeople across the team.
- Reward top contributors to sustain motivation.



How Are We Performing?

109.85M	**8.53%**	**31.47K**
Total Sales	Profit Margin	Total Orders
275K	**39.07%**	**4.47K**
Total Products Ordered	Repeat Customer Rate	Average Order Value

- Key metrics show strong sales growth but opportunities to improve profit margins.

➢ Recommendation:

- Improve cost efficiency and focus on higher-margin products.
- Set team-specific goals for improving repeat customer rates, profit margin and AOV

What Actions Should We Take?

- **Address Seasonality**: Introduce off-season campaigns and loyalty programs.
- **Boost repeat customers rate**: Introduce loyalty programs and post-purchase engagement strategies.
- **Focus on high-margin categories**: Prioritize Accessories and optimize Bike pricing for profit improvement
- **Grow international markets**: Strengthen market-specific strategies in Canada, Australia and Europe.
- **Expand online sales**: Invest in digital marketing and e-commerce.
- **Share sales expertise**: Provide training to share best practices from top sales people.

What Results Can We Expect?

- Revenue target: $130M.
- Profit margin: Increase to 10%
- Repeat Customer Rate: Increase to 45%.
- Online sales: Achieve 35% revenue contribution
- Product category: Increase Accessories revenue by 20%

Thank you